Lecture 3: Regression models

TECH6

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See GitHub repository for notebooks and data:

https://github.com/richardfoltyn/TECH6-H26

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1 Regression models with scikit-learn

1.1 Motivation

In the previous lecture, we studied linear models of the form

$$y_i = \mu + \mathbf{x}_i'\boldsymbol{\beta} + \epsilon_i$$

where μ is the intercept (or bias in machine learning lingo), $\mathbf{x}$ is a vector of explanatory variables, and ϵ_i is an additive error term that captures any residual variance in y_i not accounted for by the explanatory variables.

We estimated the coefficients using ordinary least squares (OLS), which is equivalent to minimizing the sum of squared errors,

$$L(\mu, \boldsymbol{\beta}) = \underbrace{\sum_{i=1}^{N} \left(y_i - \mu - \mathbf{x}_i' \boldsymbol{\beta} \right)^2}_{\text{Sum of squared errors}} \tag{1}$$

The estimates $(\widehat{\mu}, \widehat{\boldsymbol{\beta}})$ are then the values that minimize $L(\mu, \boldsymbol{\beta})$,

$$(\widehat{\mu}, \widehat{\boldsymbol{\beta}}) = \arg\min_{\mu, \boldsymbol{\beta}} L(\mu, \boldsymbol{\beta})$$

While OLS is the best linear unbiased estimator (BLUE) under the usual assumptions about the errors ϵ_i, the estimated $(\widehat{\mu}, \widehat{\boldsymbol{\beta}})$ may not be the best model parameters when it comes to minimizing *out-of-sample* prediction errors. Whenever our focus is on *prediction* rather than on *inference* about population parameters, we can often do better than using the loss function from (1). To this end, we augment the loss function with penalty terms that can reduce overfitting and improve out-of-sample prediction.

1.2 Synthetic sample and polynomial approximation

1.2.1 Synthetic sample

We use a highly stylized example to study polynomial approximation and overfitting. We want to approximate a (non-linear) trigonometric function using a high-order polynomial, a setting that is notoriously susceptible to overfitting (see also the previous lecture and workshop for illustrations). Assume that our model is given by

$$y_i = \cos\left(\frac{3\pi}{200} x_i \right) + \epsilon_i$$
$$\epsilon_i \overset{\text{iid}}{\sim} \mathcal{N}\left(0, 0.5^2\right)$$

where ϵ_i is an additive, normally distributed measurement error term with mean 0 and variance $\frac{1}{4}$. For this exercise, we assume that x is uniformly distributed on the interval $[0, 100]$.

The true values of y (without measurement error) are computed using the function `compute_true_y()`, which returns y for a given x.

[1]:
```
import numpy as np


def compute_true_y(x):
    """
    True trigonometric function (without errors)
    """
    return np.cos(3 * np.pi / 200.0 * x)
```

The function `create_trig_sample()` defined below is used to generate the training and test samples.

[2]:
```
from numpy.random import default_rng


def create_trig_sample(N=100, sigma=0.5, rng=None):
    """
    Create trigonometric relationship sample data.

    Parameters
    ----------
```

```
    N : int
        Sample size.
    sigma : float
        Standard deviation of the normal error term.
    rng : np.random.Generator, optional
        Random number generator.
    """

    # Initialize random number generator
    if rng is None:
        rng = default_rng(seed=12345)

    # Randomly draw explanatory variable x uniformly distributed on [0, 100]
    x = rng.uniform(0, 100, size=N)

    # Draw errors from normal distribution
    epsilon = rng.normal(scale=sigma, size=N)

    # Compute y, add measurement error
    y = compute_true_y(x) + epsilon

    return x, y
```

This lecture uses a training sample with $N = 100$ observations and the fixed seed `12345`. We create `x_train`, `y_train`, and the feature matrix `X_train` once for all models.

We define `DEGREE = 15` which controls the maximum degree of the polynomial features used in all models in this lecture. Additionally, we define a common prediction grid, `xvalues`, which we use for plotting the model predictions. Its matrix form, `X_grid`, is used as the input for a model's `predict()` method.

[3]:
```
# Polynomial degree used throughout the notebook
DEGREE = 15

# Training sample and two-dimensional feature matrix
x_train, y_train = create_trig_sample()
X_train = x_train[:, None]

# Common grid for prediction plots within the training range
xvalues = np.linspace(x_train.min(), x_train.max(), 500)
# Matrix of features used for predict()
X_grid = xvalues[:, None]
```

The next graph visualizes the true relationship and the sample points (x_i, y_i). For this purpose, we first define the function `plot_trig_sample()`, which creates the baseline plot used throughout the next few sections.

[4]:
```
def plot_trig_sample(x, y):
    """
    Plot the trigonometric relationship and sample.
    """
    import matplotlib.pyplot as plt

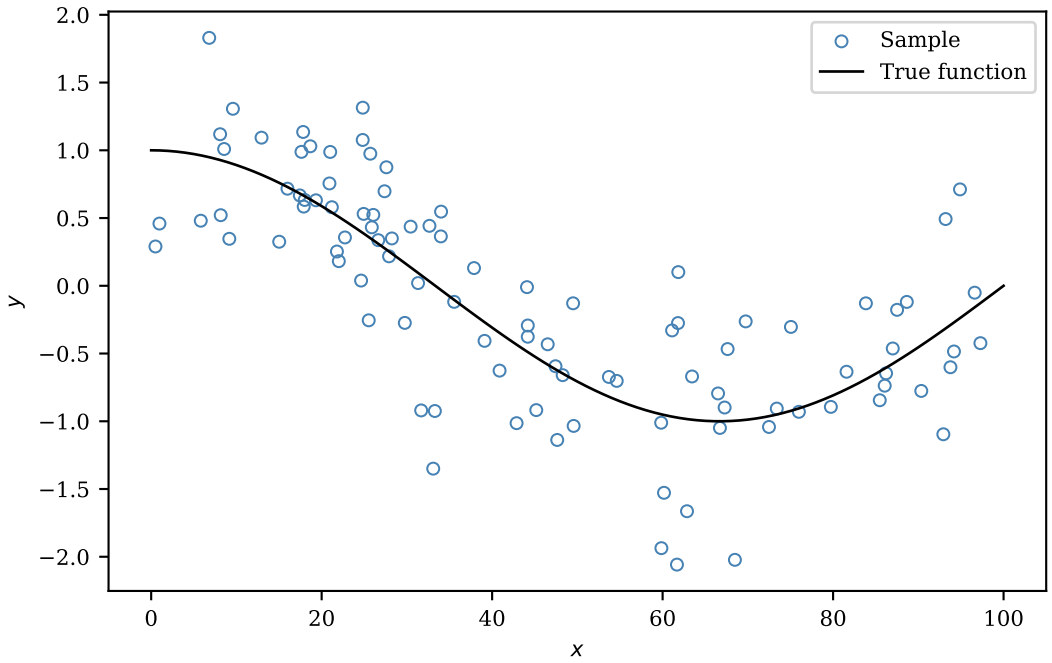
    # Sample scatter plot
    _, ax = plt.subplots(figsize=(5.5, 3.5), layout='constrained')
    ax.scatter(x, y, s=20, c='none', edgecolor='steelblue', lw=0.75, label='Sample')

    # Plot true relationship
    x_true = np.linspace(0.0, 100.0, 101)
    y_true = compute_true_y(x_true)
    ax.plot(x_true, y_true, c='black', lw=1.0, label='True function')
    ax.set_xlabel('$x$')
    ax.set_ylabel('$y$')
```

```
    ax.legend(loc='upper right')

    return ax
```

[5]:
```
_ = plot_trig_sample(x_train, y_train)
```



1.2.2 Polynomial approximation

We now estimate a polynomial approximation where we assume that y is a degree-K polynomial in x, i.e.,

$$y_i \approx \mu + \beta_1 x_i + \beta_2 x_i^2 + \cdots + \beta_K x_i^K$$

For this example, we choose an unconventionally high $K = 15$, set by the constant `DEGREE`, since we anticipate that this leads to problems with OLS. These problems are further amplified by the small sample size of $N = 100$ observations. We make these choices for pedagogical reasons so overfitting is visually more apparent.

As in Lecture 2, we use two scaling steps before fitting the model. The complete pipeline is as follows:

1. We center and scale the original input using `StandardScaler()`. Writing

$$z_i = \frac{x_i - \bar{x}}{s_x},$$

   we subtract the training mean $\bar{x}$ and divide by the training standard deviation s_x. Centering can reduce correlations between powers, while scaling keeps their magnitudes manageable.

2. We then create powers of z with `PolynomialFeatures()`. We use `include_bias=False` because the regression step fits the intercept.

3. A second `StandardScaler()` standardizes the expanded columns. Even when z has variance one, its powers generally have different variances. This second scaler puts them on comparable scales.

4. Finally, we fit a regression model to the transformed features.

The two scalers have different purposes. With our training sample, the correlation between x and x^2 is about 0.972, while the correlation between z and z^2 is about 0.383. High powers can still be strongly correlated after input standardization.

We build a `Pipeline` that combines these transformations with the estimation step. We use the `make_pipeline()` convenience function to simplify this step.

1.2.3 OLS benchmark

We first estimate the polynomial using ordinary least squares, with `LinearRegression()` as the final step of the pipeline:

[6]:
```
from sklearn.linear_model import LinearRegression
from sklearn.pipeline import make_pipeline
from sklearn.preprocessing import PolynomialFeatures, StandardScaler

# Create pipeline for linear model
pipe_ols = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    LinearRegression(fit_intercept=True),
)

# Fit model
pipe_ols.fit(X_train, y_train)
```

We can use the fitted model to predict the outcomes for the fixed grid which we use for plotting the model predictions:

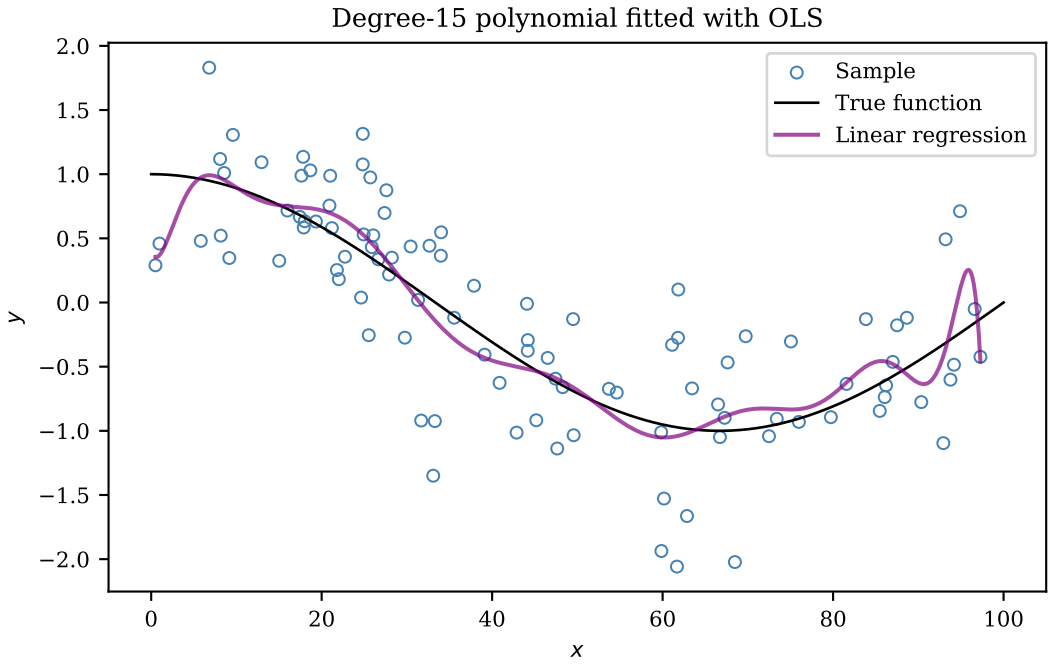
[7]:
```
# OLS predictions on the common grid
yhat_grid_ols = pipe_ols.predict(X_grid)
```

The following cell plots these predicted values together with the true function and the training sample:

[8]:
```
# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)

# OLS prediction
ax.plot(xvalues, yhat_grid_ols, c='purple', alpha=0.7, label='Linear regression')

ax.set_title(f'Degree-{DEGREE} polynomial fitted with OLS')
_ = ax.legend()
```



In theory, for OLS with an intercept and a complete polynomial expansion, centering and scaling leave the fitted polynomial unchanged in exact arithmetic. The estimated coefficients change to describe the transformed features. In practice, highly correlated polynomial columns can make the calculations unstable. The solver may discard nearly dependent directions, changing the predictions. In our degree-15 example, omitting the input scaler can produce this kind of numerical truncation even when we standardize the expanded columns.

However, as the figure above shows, more stable calculations do not prevent overfitting: the fitted polynomial can still follow the noise in our small sample. We now turn to regularization methods, which address this problem by explicitly penalizing the coefficients.

1.3 Ridge regression

Our first regularized model is Ridge regression, which adds a penalty term to the OLS loss function:

$$L(\mu, \boldsymbol{\beta}) = \underbrace{\sum_{i=1}^{N} \left(y_i - \mu - \mathbf{x}_i' \boldsymbol{\beta} \right)^2}_{\text{Sum of squared errors}} + \underbrace{\alpha \sum_{k=1}^{K} \beta_k^2}_{\text{L2 penalty}}$$

Throughout this lecture, we write the objectives using scikit-learn's conventions. Other formulations are possible, for example using the mean rather than the sum of squared errors, but this changes the interpretation of the penalty parameter.

Compared to ordinary least squares (OLS), the penalty term increases the loss when the estimated coefficients $\boldsymbol{\beta}$ are large in absolute value. This term is called an L2 penalty because it corresponds to the squared L2 vector norm. In many textbooks, we see it written as $\alpha \|\boldsymbol{\beta}\|_2^2$, which is equivalent to the formula above. For any $\alpha > 0$, the penalty increases with the squared coefficient values. The estimated coefficients therefore balance fitting the data against keeping their overall size small. We call this *regularization* or *shrinkage*. The intercept μ is not included in the penalty term, so it is not directly penalized.

As α approaches zero, the estimates approach the OLS solution. Conversely, for large α, the coefficients approach zero. Individual coefficients need not decrease steadily in absolute value, especially when the explanatory variables are highly correlated. In this setting, α is a hyperparameter, and we can use cross-validation to select its value.

Why would we use Ridge regression given that OLS is the best linear unbiased estimator? Regularization can help when we have many, potentially highly correlated, regressors, in which case OLS is prone to overfitting.

Importance of scaling and centering

For Ridge, the second `StandardScaler` after the polynomial expansion puts the expanded features on comparable scales for the coefficient penalty. High polynomial powers can still be strongly correlated, so input standardization does not eliminate the need for regularization.

Centering also changes what regularization penalizes. Powers of x and powers of z can represent the same polynomial functions, but they use different coefficients. Penalizing these coefficients therefore gives different fitted models, even after we standardize the expanded columns. While input standardization can improve numerical stability, it need not improve prediction accuracy.

1.3.1 Estimating the Ridge model

We use the same preprocessing as in the OLS pipeline, with `Ridge()` as the final step.

To run Ridge regression, we also need to specify the regularization strength α, which we set to $\alpha = 3$ for illustration.

[9]:
```
from sklearn.linear_model import Ridge

# Penalty strength to use for Ridge
alpha = 3

# Build pipeline of transformations and Ridge estimation.
# We create the polynomial transformation w/o the intercept so we
# need to include an intercept in the fitting step.
pipe_ridge = make_pipeline(
    StandardScaler(),  # center and scale the original input
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),  # standardize expanded features
    Ridge(alpha=alpha, fit_intercept=True),  # Fit Ridge regression
)

# Fit model
pipe_ridge.fit(X_train, y_train)
```

We now add the Ridge predictions to the OLS plot to compare the two fitted polynomials.

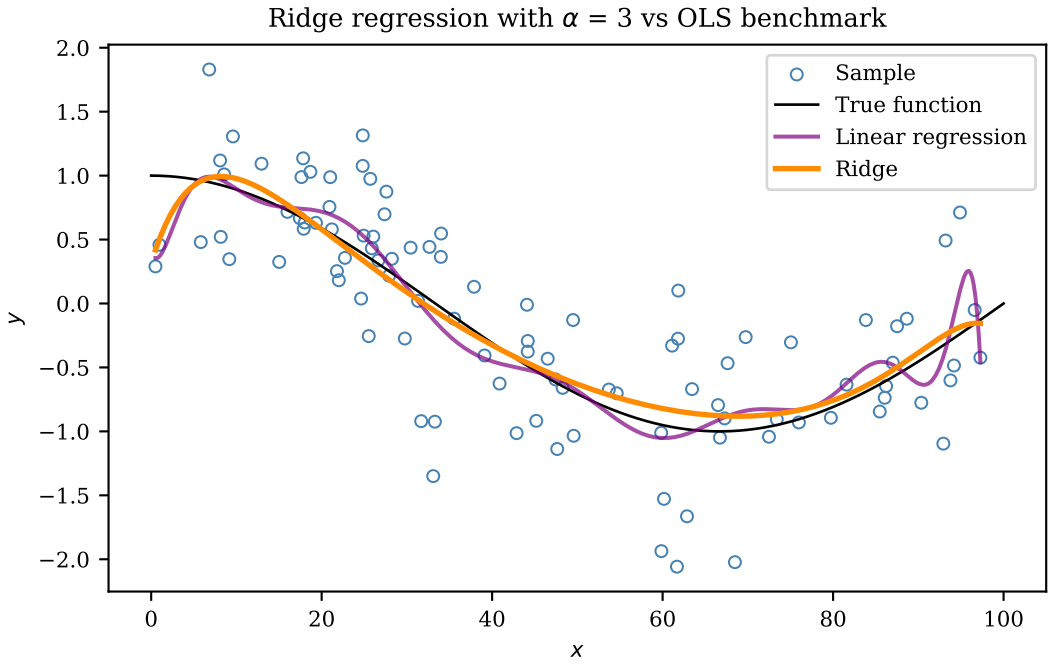
[10]:
```
# Ridge predictions on the common grid
yhat_grid_ridge = pipe_ridge.predict(X_grid)
```

[11]:
```
# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)

# Linear regression prediction
ax.plot(xvalues, yhat_grid_ols, c='purple', alpha=0.7, label='Linear regression')

# Ridge prediction
ax.plot(xvalues, yhat_grid_ridge, c='darkorange', lw=2.0, label='Ridge')

ax.set_title(rf'Ridge regression with $\alpha$ = {alpha:.4g} vs OLS benchmark')
_ = ax.legend()
```



The OLS prediction follows sample fluctuations and oscillates near the right edge of the training sample. The Ridge prediction is smoother, although it also follows some of the noise. Later, we will compare prediction errors on new observations to assess how well the models generalize.

Your turn

1. Comment out the first `StandardScaler()` in the Ridge and OLS pipelines above. Rerun the fits, predictions, and graph.
2. Restore the first scaler, then comment out the `StandardScaler()` after `PolynomialFeatures`. Rerun and inspect the graph again.

How does removing each scaler affect the Ridge predictions relative to OLS? Why does feature scaling matter when we penalize coefficients?
Restore both scaling steps before continuing.

1.3.2 Ridge path

To gain some intuition for what is going on, it is instructive to plot the estimated Ridge coefficients for a whole range of α values as we do in the code below. This plot is called the *coefficient path* or *Ridge path* in the context of Ridge regression.

Note that we choose the grid of α to be uniformly spaced on a logarithmic scale since we want to zoom in on what happens when α is small. This is accomplished by using `np.logspace()` instead of `np.linspace()`.

We reuse the Ridge pipeline defined above. The `set_params()` method updates its regularization strength through `ridge__alpha`, combining the step name and parameter name with two underscores. We then refit the pipeline and recover the fitted coefficients from `named_steps['ridge']`.

Each call to `fit()` also refits the preprocessing steps. Since we use the same sample for every value of α, the transformed features remain the same.

[12]:
```
# Create grid of alphas spaced uniformly in logs on [1e-4, 100]
alphas = np.logspace(start=np.log10(1.0e-4), stop=np.log10(100), num=200)
```

```
# Array to store one coefficient for each polynomial feature and alpha
coefs = np.empty((len(alphas), DEGREE))

# Reuse the Ridge pipeline, updating alpha before each fit
for i, alpha in enumerate(alphas):
    # Update the penalty in the Ridge step
    pipe_ridge.set_params(ridge__alpha=alpha)

    # Refit the pipeline on the original input
    pipe_ridge.fit(X_train, y_train)

    # Store the coefficients for this alpha
    coefs[i] = pipe_ridge.named_steps['ridge'].coef_
```

The following plot shows the coefficient on each standardized power of the centered and scaled input z for different values of α. These coefficients refer to the transformed features, rather than to the original powers of x. The x-axis uses a $\log_{10}$ scale so that we can see the behavior at small values of α more clearly.

We define `plot_coefficient_path()` to draw this plot. The `model_name` argument lets us reuse the function for both Ridge and Lasso:

[13]:
```
def plot_coefficient_path(alphas, coefs, model_name):
    """
    Plot coefficients for different regularization strengths.

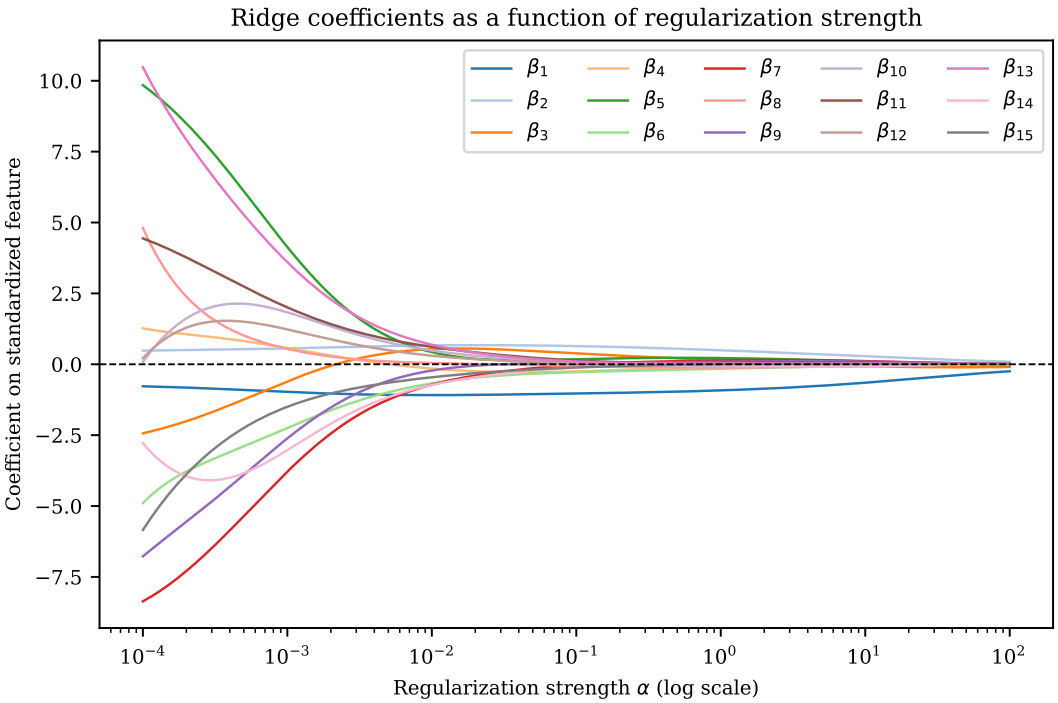
    Parameters
    ----------
    alphas : array
        Regularization strengths
    coefs : array
        Coefficients, with one row per strength and one column per feature
    model_name : str
        Model name, either 'Ridge' or 'Lasso'
    """
    import matplotlib.pyplot as plt

    _, ax = plt.subplots(figsize=(6, 4), layout='constrained')
    colors = plt.get_cmap('tab20').colors

    # Use a separate color for each standardized polynomial feature
    for i in range(coefs.shape[1]):
        ax.plot(alphas, coefs[:, i], lw=1.0, c=colors[i], label=rf'$\beta_{{{i + 1}}}$')

    ax.set_xscale('log', base=10)
    ax.axhline(0.0, ls='--', lw=0.75, c='black')
    ax.set_xlabel(r'Regularization strength $\alpha$ (log scale)')
    ax.set_ylabel('Coefficient on standardized feature')
    title = f'{model_name} coefficients as a function of regularization strength'
    ax.set_title(title)
    _ = ax.legend(ncols=5)
```

[14]:
```
plot_coefficient_path(alphas, coefs, 'Ridge')
```



The coefficients become smaller overall as α increases, although individual paths need not move steadily toward zero. At the right endpoint, the coefficients are substantially smaller but are not exactly zero. Conversely, as α approaches zero, Ridge approaches OLS.

Your turn

1. Find the largest absolute coefficient in the fitted OLS model `pipe_ols`.

   Hint: The OLS coefficients are stored in the attribute `coef_` in the `'linearregression'` step of the pipeline.

2. Find the largest absolute Ridge coefficient at the left endpoint of the path, where the penalty is $\alpha = 10^{-4}$. These coefficients are stored in `coefs[0]`.

3. Compare the two values. Does the smallest penalty in our path give coefficients close to OLS? What does this tell us about the shrinkage produced by a small positive penalty?

1.3.3 Tuning the regularization parameter via cross-validation

In the previous example, we picked an arbitrary regularization strength α. We now use cross-validation to select it. We search a broad range from 10^{-4} to 10^{2}: a narrow range can miss a better minimum elsewhere in the validation curve (recall from lecture 2 that the validation curve traces the performance of the model as we vary the hyperparameter, here α).

Our preprocessing needs to be part of cross-validation. In each split, we estimate the means and standard deviations for both scalers using only the training observations. We then apply those same transformations to the validation observations. Scaling the entire sample before splitting would let information from the validation observations enter training. This is called *data leakage*.

Scikit-learn provides `RidgeCV()`, a class that selects the Ridge regularization strength α by cross-validation. However, it handles only the regression step. Our example also requires fitting the scalers separately within each training fold.

We therefore use `GridSearchCV()` around the complete pipeline. It tries each candidate α and refits both the preprocessing and the regression model within each training fold.

We define five shuffled folds with `KFold()` and fix the random seed so that we can reproduce the splits. We use the same folds for Lasso and Elastic Net later.

[15]:
```python
from sklearn.model_selection import GridSearchCV, KFold

# Use the same reproducible splits for all models
cv = KFold(n_splits=5, shuffle=True, random_state=1234)

# Scoring metric for cross-validation
scoring = 'neg_mean_squared_error'

# Candidate regularization strengths on a log scale from 1e-4 to 1e2
ridge_alphas = np.logspace(-4, 2, num=200)

# Keep all preprocessing inside the pipeline
pipe_ridge = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    Ridge(),
)
```

Once we have set up the CV splitter, the scoring metric, the candidate α values, and the Ridge pipeline, we create a `GridSearchCV` object and run the cross-validation:

[16]:
```python
# Define the grid search for Ridge regression with cross-validation
ridge_cv = GridSearchCV(
    pipe_ridge,
    param_grid={'ridge__alpha': ridge_alphas},  # parameters to search over
    scoring=scoring,  # scoring metric for cross-validation
    cv=cv,  # CV splitting strategy
    refit=True,  # refit the best model on the entire training set
    n_jobs=4,  # parallelize over 4 CPU cores
)

# Run the cross-validation
ridge_cv.fit(X_train, y_train)
```

The parameter name `ridge__alpha` combines the pipeline step name (`ridge`) and its parameter name (`alpha`), separated by two underscores. The search receives the training inputs `X_train` and target `y_train`, so each fold gets its own fitted input scaler and expanded-feature scaler.

Scikit-learn's search tools maximize scores. We specify `scoring='neg_mean_squared_error'` so that maximizing the score minimizes MSE. The selected parameter is stored in `best_params_`, and the corresponding average validation score is stored in `best_score_`.

[17]:
```python
# Recover the selected alpha of the best model
alpha_best = ridge_cv.best_params_['ridge__alpha']

# Average validation MSE of the best model
mse_ridge_cv = -ridge_cv.best_score_

print(f'Best alpha: {alpha_best:.4g}')
print(f'CV MSE: {mse_ridge_cv:.4g}')
```

```
Best alpha: 1.351
CV MSE: 0.2489
```

For our demo sample, the search selects $\alpha \approx 1.351$ with a CV MSE of about 0.249.

The search also stores results for every candidate in the dictionary `cv_results_`. We recover each α and its average validation score to plot the validation curve. These scores are averaged over the five folds.

We define `plot_validation_curve()` to handle these steps for both Ridge and Lasso. It takes the fitted search and the model name. Converting the name to lowercase gives the pipeline step name, so the function reads either `param_ridge__alpha` or `param_lasso__alpha`. Both searches use negative MSE, which we convert back to MSE for the plot.

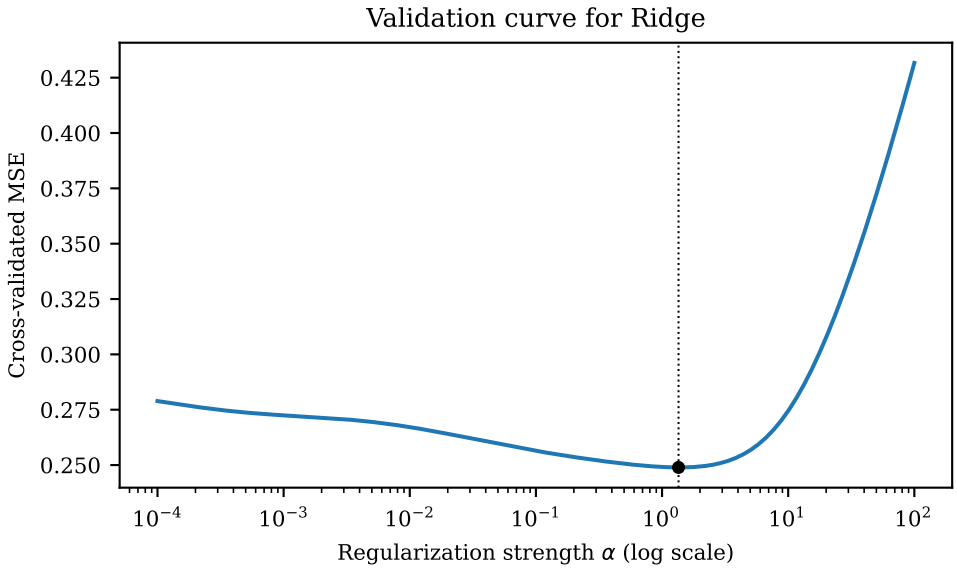
[18]:
```python
def plot_validation_curve(search, model_name):
    """
    Plot validation MSE against alpha and mark the selected value.

    Parameters
    ----------
    search : object
        Fitted GridSearchCV search over the model's alpha
    model_name : str
        Model name, either 'Ridge' or 'Lasso'
    """
    import matplotlib.pyplot as plt

    # Recover candidate alphas, mean validation errors, and the selected index
    param_name = f'param_{model_name.lower()}__alpha'
    alphas = search.cv_results_[param_name]
    mse_mean = -search.cv_results_['mean_test_score']
    imin = search.best_index_

    # Plot the validation curve and highlight the selected alpha
    _, ax = plt.subplots(figsize=(5, 3), layout='constrained')
    ax.plot(alphas, mse_mean)
    ax.scatter(alphas[imin], mse_mean[imin], s=15, c='black', zorder=100)
    ax.axvline(alphas[imin], ls=':', lw=0.75, c='black')
    ax.set_xscale('log')
    ax.set_xlabel(r'Regularization strength $\alpha$ (log scale)')
    ax.set_ylabel('Cross-validated MSE')
    _ = ax.set_title(f'Validation curve for {model_name}')
```

[19]:
```python
plot_validation_curve(ridge_cv, 'Ridge')
```



By default, `GridSearchCV` refits the selected pipeline on the entire training sample after choosing α. This fitted pipeline is stored in `best_estimator_`. We can use it directly to predict from the original x values; the pipeline applies the fitted transformations for us.

[20]:
```
# Recover the pipeline already fitted with the selected alpha
pipe_ridge = ridge_cv.best_estimator_

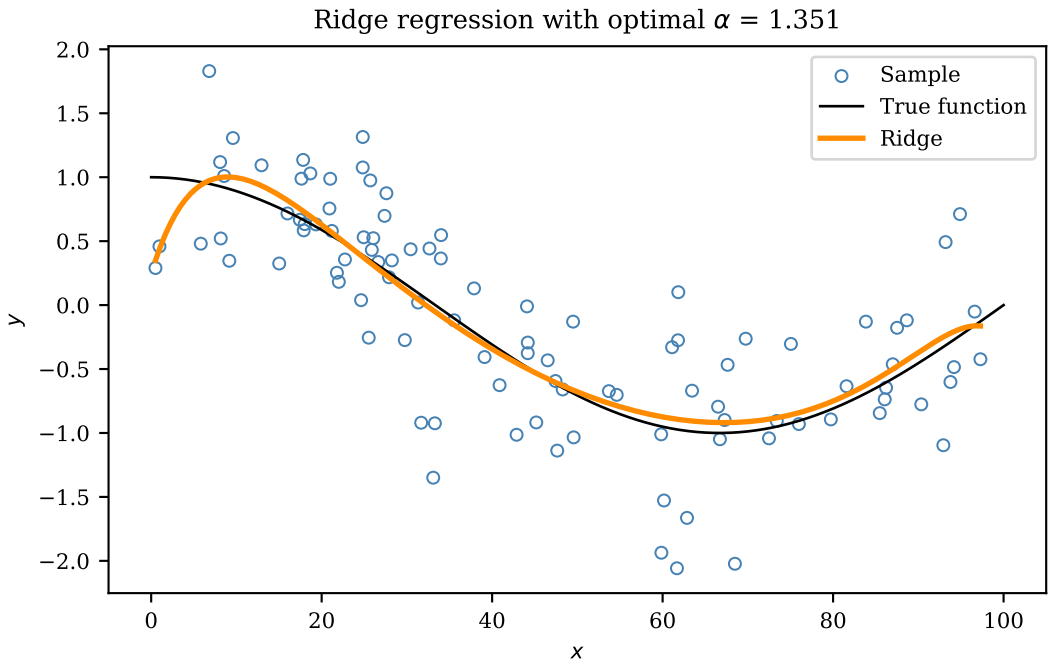
# Compute grid predictions using the selected Ridge model
yhat_grid_ridge = pipe_ridge.predict(X_grid)
```

Finally, we plot the predicted values together with the training sample and the true relationship:

[21]:
```
# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)

# Plot predicted values from cross-validated Ridge regression
ax.plot(xvalues, yhat_grid_ridge, c='darkorange', lw=2.0, label='Ridge')

ax.set_title(rf'Ridge regression with optimal $\alpha$ = {alpha_best:.4g}')
_ = ax.legend()
```



As the figure shows, the optimally selected Ridge model is smoother than the OLS model and follows the true relationship more closely, except at the left boundary of the training sample where we have few observations.

Your turn

1. Repeat the OLS and Ridge analysis with `N=200`. How do the predictions change?
2. What happens to the selected α? Also compare α/N: dividing Ridge's objective by N gives mean squared error plus a penalty with weight α/N. This helps us compare penalty strengths across sample sizes.

Restore `N=100` and rerun the analysis before continuing.

1.3.4 Dedicated cross-validation with `RidgeCV`

The dedicated `RidgeCV()` class is useful when the input features are already on suitable scales without learning preprocessing from the current sample. With its default `cv=None`, it uses an efficient calculation

of leave-one-out errors, avoiding a separate model fit for each omitted observation.

For a short illustration, we center and scale x by the known mean of 50 and upper bound of 100 before creating polynomial features. Knowing the data-generating process gives us a natural choice of fixed centering and scaling constants. In applications, suitable values may be less obvious. This fixed conversion uses no sample means or standard deviations, so it can be done before cross-validation. This illustration uses centered powers of $z = (x - 50)/100$ without either learned scaler. Both the polynomial basis and its scales differ from our main pipeline, so its fitted model and selected α are not directly comparable. For our main model with learned standardization, we keep the `GridSearchCV` approach.

We pass candidate values through `alphas` and recover the selected value from `alpha_`.

[22]:
```
from sklearn.linear_model import RidgeCV

# Fixed feature construction; no scales are estimated from the sample
poly = PolynomialFeatures(degree=DEGREE, include_bias=False)
X_train_fixed = poly.fit_transform((X_train - 50) / 100)

# Candidate strengths for these fixed feature scales
ridge_alphas_dedicated = np.logspace(-5, 2, num=200)

# Create a RidgeCV object with candidate alphas
ridge_cv_dedicated = RidgeCV(alphas=ridge_alphas_dedicated)

# Run the cross-validation
ridge_cv_dedicated.fit(X_train_fixed, y_train)

print(f'RidgeCV selected alpha: {ridge_cv_dedicated.alpha_:.4g}')
```

```
RidgeCV selected alpha: 0.0003002
```

The selected α is *not directly comparable* to the earlier pipeline value because the polynomial basis and feature scales differ.

1.4 Lasso

Another widely used estimator with shrinkage is Lasso (least absolute shrinkage and selection operator). Its objective combines a scaled squared-error term with an L1 penalty,

$$L(\mu, \boldsymbol{\beta}) = \underbrace{\frac{1}{2N} \sum_{i=1}^{N} \left(y_i - \mu - \mathbf{x}_i' \boldsymbol{\beta} \right)^2}_{\text{Half the mean squared error}} + \underbrace{\alpha \sum_{k=1}^{K} |\beta_k|}_{\text{L1 penalty}}$$

where we have used the formulation implemented in scikit-learn. You might see slightly different but equivalent formulations in other textbooks. As with Ridge regression, the additional term penalizes large coefficient values, while the intercept is not penalized. This term is called an L1 penalty because it corresponds to the L1 vector norm, which we can also write as $\alpha \|\boldsymbol{\beta}\|_1$.

Using the L1 instead of the squared L2 norm can produce much more parsimonious models: many coefficients can be exactly zero, eliminating the corresponding features from the model. We will see this in the example below.

1.4.1 Estimating the Lasso and linear regression models

We apply Lasso to the same training sample, `X_train` and `y_train`, that we used for Ridge. This allows us to compare the two methods.

As with Ridge, we standardize the input before creating polynomial features, then standardize the expanded columns before fitting Lasso. We use the `Lasso` class to perform the model estimation. For

now, we set the regularization strength to $\alpha = 0.0075$ and use cross-validation to find the optimal value later.

For Lasso, we may need to increase `max_iter` from its default of 1,000. We also set `tol=1e-6`, a smaller stopping tolerance than the default of `1e-4`, to obtain more accurate solutions with our correlated polynomial features.

[23]:
```
from sklearn.linear_model import Lasso
from sklearn.pipeline import make_pipeline
from sklearn.preprocessing import PolynomialFeatures, StandardScaler

# Penalty strength to use for Lasso
alpha = 0.0075

# Build pipeline of transformations and Lasso estimation.
# We create the polynomial transformation w/o the intercept so we
# need to include an intercept in the fitting step.
pipe_lasso = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    Lasso(alpha=alpha, fit_intercept=True, max_iter=10_000, tol=1e-6),
)

pipe_lasso.fit(X_train, y_train)
```

For comparison, we reuse the fitted OLS pipeline `pipe_ols` and its grid predictions `yhat_grid_ols` from the Ridge section.

The following code plots the sample data, the true functional relationship, and the predictions from the linear regression and Lasso models.

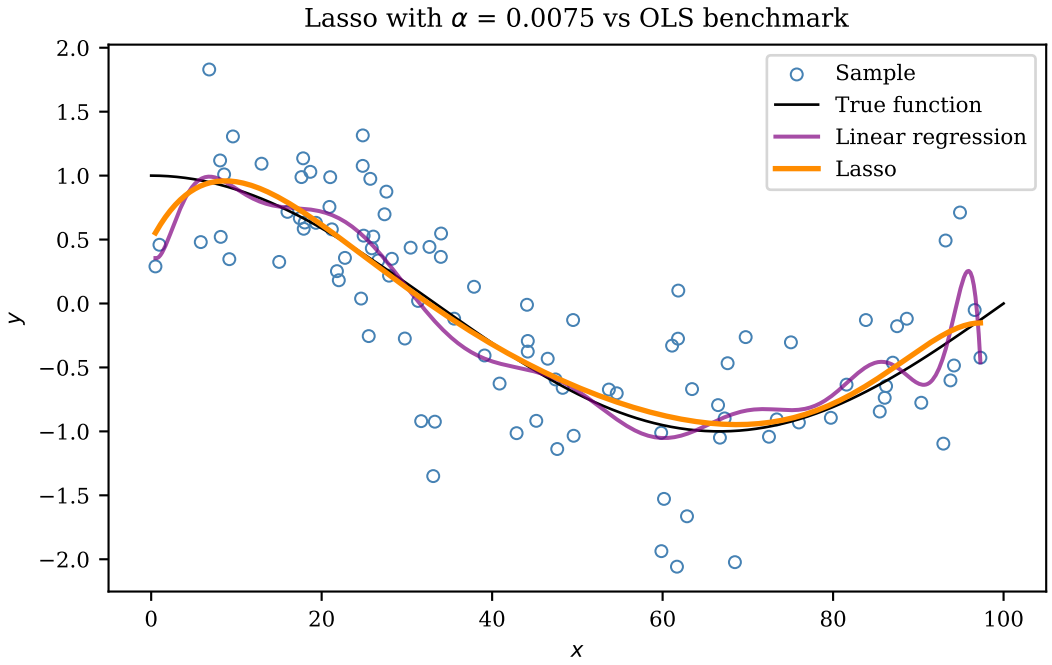
[24]:
```
# Grid predictions from the illustrative Lasso model
yhat_grid_lasso = pipe_lasso.predict(X_grid)
```

[25]:
```
ax = plot_trig_sample(x_train, y_train)

# Linear regression prediction
ax.plot(xvalues, yhat_grid_ols, c='purple', alpha=0.7, label='Linear regression')

# Lasso prediction
ax.plot(xvalues, yhat_grid_lasso, c='darkorange', lw=2.0, label='Lasso')

ax.set_title(rf'Lasso with $\alpha$ = {alpha:.4g} vs OLS benchmark')
_ = ax.legend()
```



We chose $\alpha = 0.0075$ for this illustration, whereas we initially used $\alpha = 3$ for Ridge regression. These values are not directly comparable: scikit-learn divides the squared-error term by $2N$ for Lasso, and the two methods also use different penalties. There is no general conversion that gives equivalent shrinkage for Ridge and Lasso. We therefore tune α separately for each model.

> **Your turn**
>
> Set `alpha=1` in the Lasso setup and rerun the fit and prediction plot. How does the fitted curve change? Explain the intuition behind this result.

1.4.2 Lasso path

As for Ridge regression, we can visualize how the estimated Lasso coefficients change as we vary the penalty parameter. This plot is called the *Lasso path*.

To compute the path, we fit the model for different values of α on the interval $[10^{-4}, 1]$, where we again space α uniformly on a logarithmic scale. This range includes smaller penalties that can retain more polynomial features.

We reuse the Lasso pipeline defined above. As in the Ridge path, we update `lasso__alpha` with `set_params()`, refit the complete pipeline on `X_train`, and recover the coefficients from `named_steps['lasso']`. The preprocessing steps are refitted for each value of α, using the same training sample.

[26]:
```
# Create grid of alphas spaced uniformly in logs on [1e-4, 1]
alphas = np.logspace(start=np.log10(1.0e-4), stop=np.log10(1.0), num=200)

# Allow more iterations and reuse intermediate calculations within each fit
pipe_lasso.set_params(lasso__max_iter=20_000_000, lasso__precompute=True)

# Array to store one coefficient for each polynomial feature and alpha
coefs = np.empty((len(alphas), DEGREE))

# Reuse the Lasso pipeline, updating alpha before each fit
for i, alpha in enumerate(alphas):
    # Update the penalty in the Lasso step
```

```
    pipe_lasso.set_params(lasso__alpha=alpha)

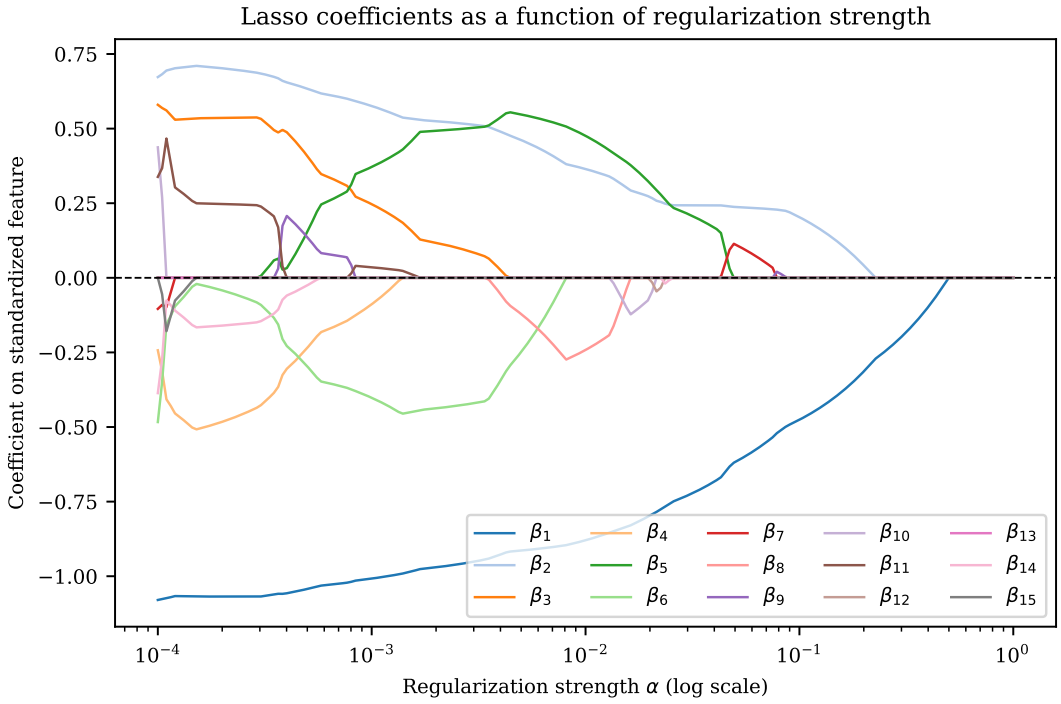
    # Refit the pipeline on the original input
    pipe_lasso.fit(X_train, y_train)

    # Store the coefficients for this alpha
    coefs[i] = pipe_lasso.named_steps['lasso'].coef_
```

We reuse `plot_coefficient_path()` to plot the fitted Lasso coefficients against α on a log scale:

[27]:
```
import matplotlib.pyplot as plt

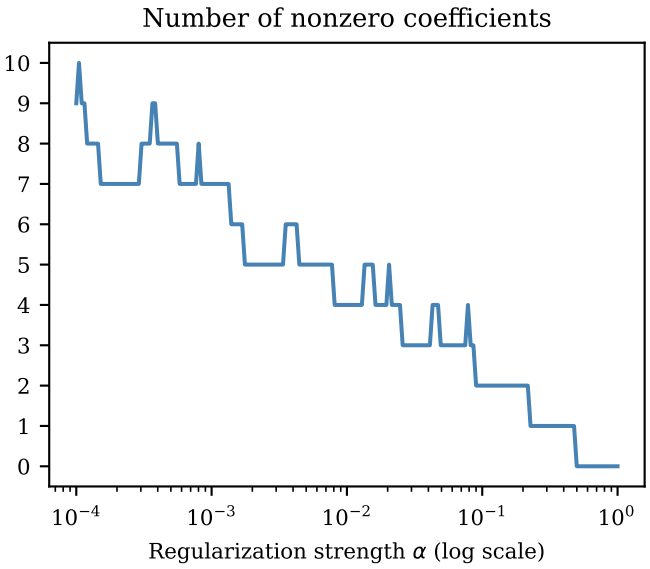
plot_coefficient_path(alphas, coefs, 'Lasso')
```



The coefficient paths differ from those obtained with Ridge. For sufficiently large α, many Lasso coefficients are exactly zero. We highlight this result in the graph below, which plots the number of nonzero coefficients against α.

[28]:
```
# Treat very small coefficient values as zero
nonzero = np.sum(np.abs(coefs) > 1.0e-6, axis=1)
```

[29]:
```
# Plot number of nonzero coefficients against alpha
plt.plot(alphas, nonzero, lw=1.5, c='steelblue')
plt.xscale('log', base=10)
plt.yticks(np.arange(0, np.amax(nonzero) + 1))
plt.xlabel(r'Regularization strength $\alpha$ (log scale)')
_ = plt.title('Number of nonzero coefficients')
```



At small values of α, Lasso retains more of the 15 polynomial features. As the penalty increases, we generally obtain models with fewer nonzero coefficients, eventually leaving only the intercept.

It's important to stress that we fit Lasso on standardized polynomial features. Our pipeline first centers and scales x to obtain z, then creates $z, z^2, \ldots, z^{15}$. The second scaler standardizes each of these polynomial columns before fitting Lasso, putting them on comparable scales for the penalty. A zero coefficient means that Lasso leaves out one of these *transformed* features. It does not necessarily mean that Lasso leaves out the corresponding power of the original input x.

We can see why centering matters with a simple example. We temporarily ignore scaling and write $z = x - 5$. Suppose our fitted model retains only the z^2 feature. Rewriting this feature gives

$$z^2 = (x-5)^2 = x^2 - 10x + 25.$$

The same fitted curve therefore contains both an x^2 term and an x term when written in terms of the original input, with the constant absorbed into the intercept. Standardizing the z^2 column changes its scale and shifts its constant term, but it still involves both powers of x.

The practical implication is that the number of nonzero coefficients describes how many features we retain from our chosen polynomial expansion. We cannot interpret a zero coefficient on the standardized z feature as evidence that the fitted curve has no x term.

Changing the center before fitting can also change the fitted curve: it changes the polynomial features and the coefficients that Lasso penalizes. Standardizing the columns makes their scales comparable, but does not make these different expansions equivalent under the Lasso penalty. Our pipeline is appropriate for this prediction example; we use cross-validation to select its penalty strength. If we also want to choose between different centering or feature-construction methods, we should compare those choices using cross-validation as well.

We can also compute the Lasso path using the convenience function `lasso_path()`. This function takes a feature matrix directly, so we prepare the standardized polynomial features ourselves. It does not fit an intercept, so we also subtract the mean of y. Here we are illustrating fitted coefficients on one sample, rather than estimating validation performance.

[30]:
```
from sklearn.linear_model import lasso_path

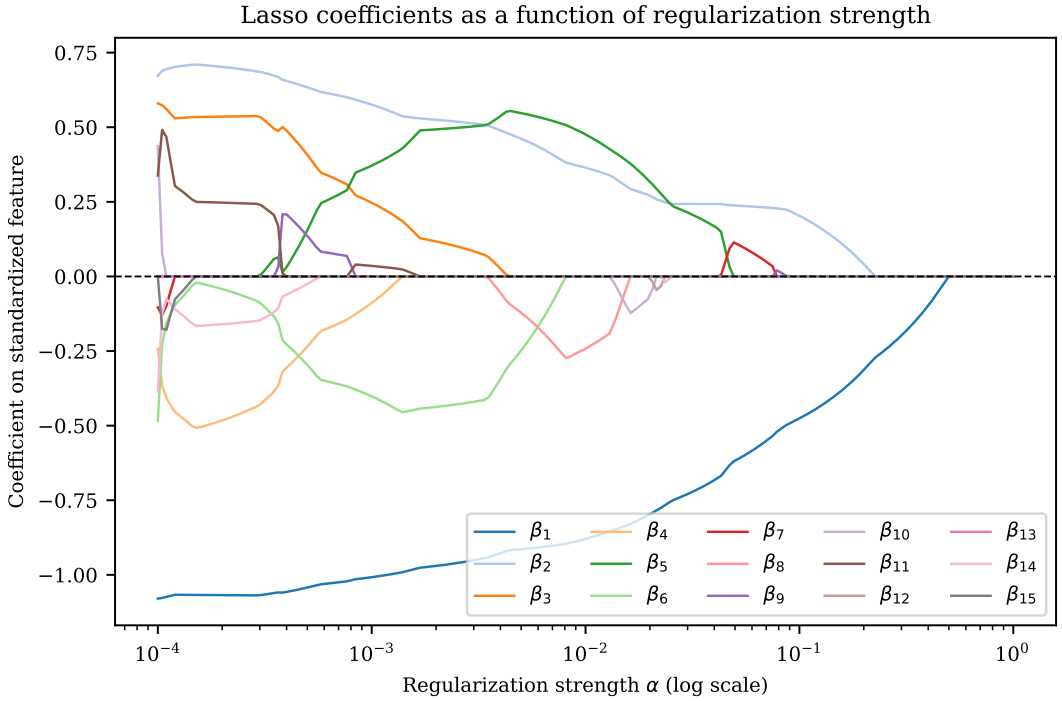
# Re-create pipeline w/o Lasso estimator to be used with lasso_path()
transform = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
)
```

```
# Create polynomial features
X_train_trans = transform.fit_transform(X_train)

# Center the training target because lasso_path does not fit an intercept
y_train_centered = y_train - np.mean(y_train)

# Compute Lasso path automatically
alphas, coefs, _ = lasso_path(
    X_train_trans, y_train_centered, alphas=alphas, max_iter=20_000_000, tol=1e-6
)
```

[31]:
```
# Transpose so each row contains the coefficients for one alpha
plot_coefficient_path(alphas, coefs.T, 'Lasso')
```



The two paths can differ because the numerical algorithm stops once it reaches a specified tolerance. Our loop fits each model from scratch, while `lasso_path()` starts each fit from the solution for a nearby α. Reusing a previous solution is called a *warm start* and often saves computation. With highly correlated polynomial features, these choices can produce visible differences in coefficients. More iterations and a smaller `tol` can improve agreement, at the cost of more computation.

1.4.3 Tuning the regularization parameter via cross-validation

We now select α for Lasso using `GridSearchCV()`. As in the Ridge example, the search wraps the complete pipeline so that both scalers are learned separately within each training fold. Scikit-learn also provides a dedicated `LassoCV()` class that selects α by cross-validation. However, it does not refit scalers within its internal folds, and thus may suffer from the same data-leakage issue as `RidgeCV`. We therefore use `GridSearchCV` around the complete pipeline here and discuss the `LassoCV` alternative below.

We search from 10^{-4} to 10^{-1} using the same five folds and negative MSE scoring rule as before. Including smaller penalties lets us compare sparse models with models that retain more of the expansion.

We allow more iterations for the highly correlated polynomial features and keep `tol=1e-6`. Setting `precompute=True` computes a matrix of feature cross-products once per fit and reuses it during the solver's iterations. Each fit performed by `GridSearchCV` computes its own matrix.

[32]:
```
# Candidate regularization strengths for Lasso
lasso_alphas = np.logspace(-4, -1, num=200)

# Keep all preprocessing inside the pipeline
pipe_lasso = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    Lasso(max_iter=20_000_000, tol=1e-6, precompute=True),
)

# Define the grid search for Lasso regression with cross-validation
lasso_cv = GridSearchCV(
    pipe_lasso,
    param_grid={'lasso__alpha': lasso_alphas},  # parameters to search over
    scoring=scoring,  # scoring metric for cross-validation
    cv=cv,  # CV splitting strategy
    refit=True,  # refit the best model on the entire training set
    n_jobs=4,  # parallelize over 4 CPU cores
)

# Run the cross-validation
lasso_cv.fit(X_train, y_train)
```

We recover the selected α from `best_params_` and the validation scores from `cv_results_`, just as we did for Ridge.

[33]:
```
# Optimal alpha of the best model
alpha_best = lasso_cv.best_params_['lasso__alpha']

# Average validation MSE of the best model
mse_lasso_cv = -lasso_cv.best_score_

print(f'Best alpha: {alpha_best:.4g}')
print(f'CV MSE: {mse_lasso_cv:.4g}')
```

```
Best alpha: 0.005053
CV MSE: 0.2487
```

The selected pipeline is stored in `best_estimator_`. We access its fitted Lasso step through `named_steps['lasso']` and count the nonzero coefficients. As in the path plot, we treat absolute values at or below 10^{-6} as zero.

[34]:
```
# Reference to best Lasso estimator
lasso_best = lasso_cv.best_estimator_.named_steps['lasso']

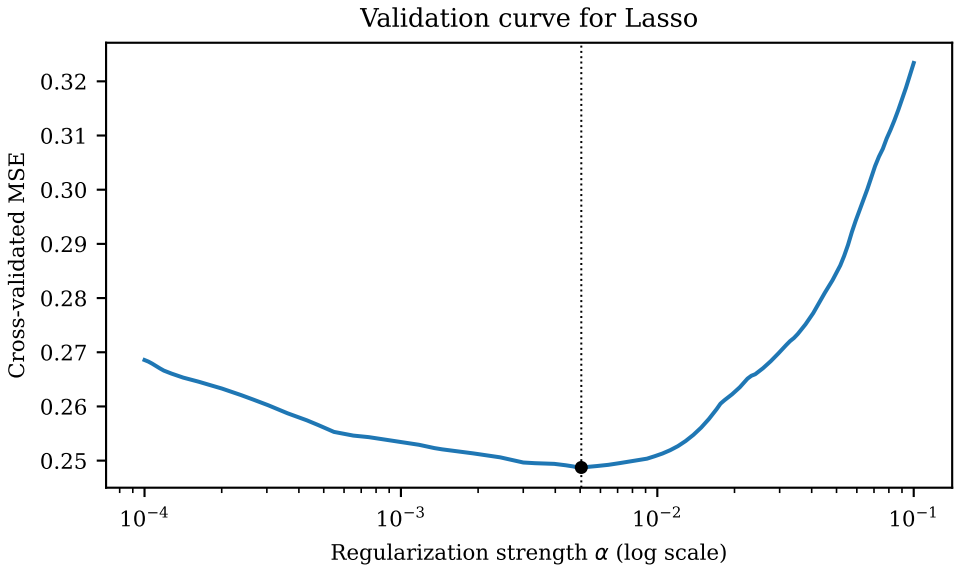
# Count the number of nonzero coefficients in the best Lasso model
n_features = np.sum(np.abs(lasso_best.coef_) > 1.0e-6)
print(f'Number of nonzero coefficients: {n_features}')
```

```
Number of nonzero coefficients: 5
```

For our demo sample, cross-validation selects $\alpha \approx 0.00505$ with a CV MSE of about 0.249. The refitted model retains 5 of the 15 polynomial features. Thus, Lasso reduces the number of features, although its sparsity depends on the input transformation and the penalty chosen by cross-validation.

We reuse `plot_validation_curve()` with the fitted Lasso search to show average validation MSE across the candidate values of α. If a selected value is at an endpoint of the grid, we would expand the grid to check whether values beyond it perform better.

[35]:
```
plot_validation_curve(lasso_cv, 'Lasso')
```



The search has already refitted the selected pipeline on the full training sample. We use this best model to predict `yhat_grid_lasso` on the prediction grid.

[36]:
```
# Recover the pipeline already fitted with the selected alpha
pipe_lasso = lasso_cv.best_estimator_

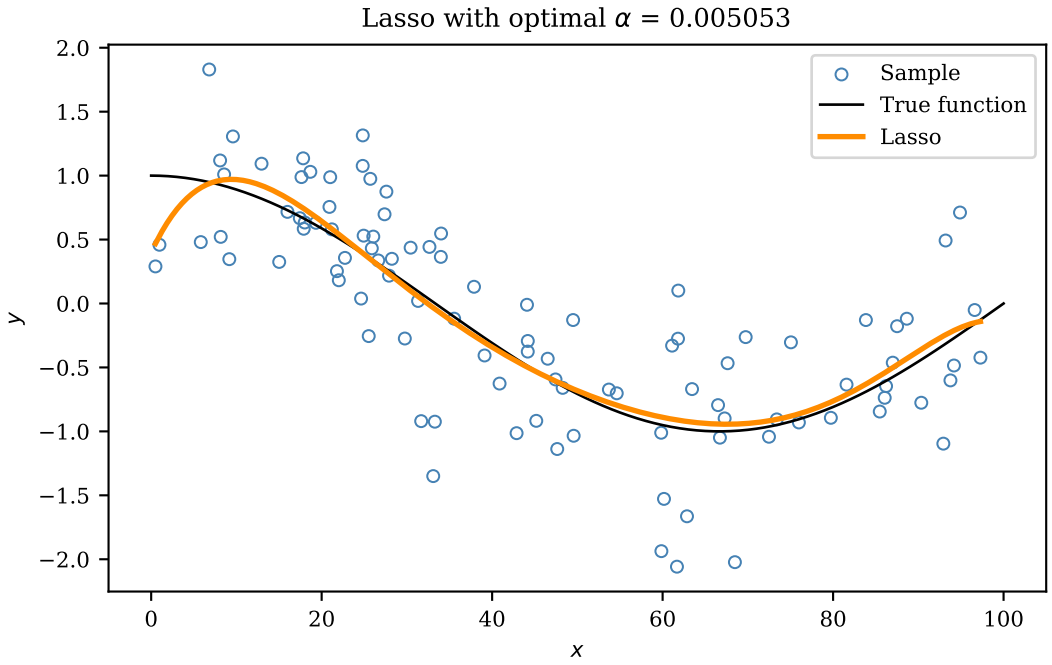
# Compute grid predictions using the selected Lasso model
yhat_grid_lasso = pipe_lasso.predict(X_grid)
```

Finally, we visually compare the true model to the Lasso prediction using the optimal value of α.

[37]:
```
# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)

# Plot prediction from optimal Lasso model
ax.plot(xvalues, yhat_grid_lasso, c='darkorange', lw=2.0, label=r'Lasso')

ax.set_title(rf'Lasso with optimal $\alpha$ = {alpha_best:.4g}')
_ = ax.legend()
```



Your turn

Perform the following tasks using the fitted Lasso model `pipe_lasso`:

- Compute the training MSE using the predicted values `pipe_lasso.predict(X_train)` and `y_train`.

  Hint: You can use `mean_squared_error()` from `sklearn.metrics` to compute the MSE.

- Compare the training MSE with the CV MSE stored in `mse_lasso_cv`. Which is lower for this sample? What could explain the difference?

1.4.4 Dedicated cross-validation with `LassoCV`

The dedicated `LassoCV()` class is useful when no preprocessing needs to be learned within the folds. It can be faster than a general grid search because it reuses the coefficients from a nearby α as a starting point for the next fit. We encountered this idea of warm starts in the Lasso path example.

As in the `RidgeCV` illustration, we center and scale x using its known mean of 50 and upper bound of 100, then construct polynomial features from $z = (x - 50)/100$. We do not fit a scaler on the full sample. This illustration uses centered powers of z without either learned scaler. Its polynomial basis and feature scales differ from our main example; we use this calculation only to illustrate the dedicated class.

We supply the candidate grid and folds through `alphas` and `cv`. The class selects α using validation MSE and stores it in `alpha_`.

[38]:
```
from sklearn.linear_model import LassoCV

# Fixed feature construction; no scales are estimated from the sample
poly = PolynomialFeatures(degree=DEGREE, include_bias=False)
X_train_fixed = poly.fit_transform((X_train - 50) / 100)

# Candidate strengths for these fixed feature scales
lasso_alphas_dedicated = np.logspace(-5, -2, num=200)

# Create a LassoCV object with candidate alphas
```

```
lasso_cv_dedicated = LassoCV(alphas=lasso_alphas_dedicated, cv=cv, max_iter=1_000_000)

# Run the cross-validation
lasso_cv_dedicated.fit(X_train_fixed, y_train)

print(f'LassoCV selected alpha: {lasso_cv_dedicated.alpha_:.4g}')
```

```
LassoCV selected alpha: 7.233e-05
```

We obtain a much smaller $\alpha \approx 7.2 \times 10^{-5}$ than in the standardized pipeline ($\alpha \approx 0.0051$), but these values are not directly comparable because the polynomial basis and feature scales differ.

1.5 Elastic Net

Elastic Net is a regularized linear regression model that combines the L1 and L2 penalties of Lasso and Ridge. Its objective, using the scikit-learn formulation, is:

$$L(\mu, \boldsymbol{\beta}) = \underbrace{\frac{1}{2N} \sum_{i=1}^{N} \left(y_i - \mu - \mathbf{x}_i' \boldsymbol{\beta} \right)^2}_{\text{Half the mean squared error}} + \underbrace{\alpha \rho \sum_{k=1}^{K} |\beta_k|}_{\text{L1 penalty}} + \underbrace{\frac{\alpha(1-\rho)}{2} \sum_{k=1}^{K} \beta_k^2}_{\text{L2 penalty}}$$

As before, the intercept is not penalized.

By incorporating both penalties, Elastic Net can produce a sparse model with many zero coefficients while also using Ridge's squared-coefficient penalty. The hyperparameter $\rho \in [0, 1]$, called `l1_ratio` in scikit-learn, controls the mix of the two penalties:

- When $\rho = 1$, the model is equivalent to Lasso with the same α.
- When $\rho = 0$, only the L2 penalty remains. This gives a Ridge model, but the different scaling of the objective means that the equivalent Ridge parameter is $\alpha_{\text{Ridge}} = N \cdot \alpha_{\text{Elastic Net}}$.

1.5.1 Estimating the Elastic Net and linear regression models

We use the same training sample, `X_train` and `y_train`, from the previous sections to fit the Elastic Net model.

We first illustrate the estimation for a fixed set of hyperparameters: `alpha = 0.01` and `l1_ratio = 0.5` (an equal mix of L1 and L2 penalties). For comparison, we reuse the OLS pipeline `pipe_ols` from the earlier `LinearRegression()` fit. It already uses the same training sample and polynomial features.

As with Lasso earlier, it may be necessary to increase `max_iter` to ensure convergence.

[39]:
```
from sklearn.linear_model import ElasticNet
from sklearn.pipeline import make_pipeline
from sklearn.preprocessing import PolynomialFeatures, StandardScaler

# Build pipeline for Elastic Net
pipe_enet = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    ElasticNet(
        alpha=0.01, l1_ratio=0.5, fit_intercept=True, max_iter=100_000, tol=1e-6
    ),
)

# Fit Elastic Net
pipe_enet.fit(X_train, y_train)
```

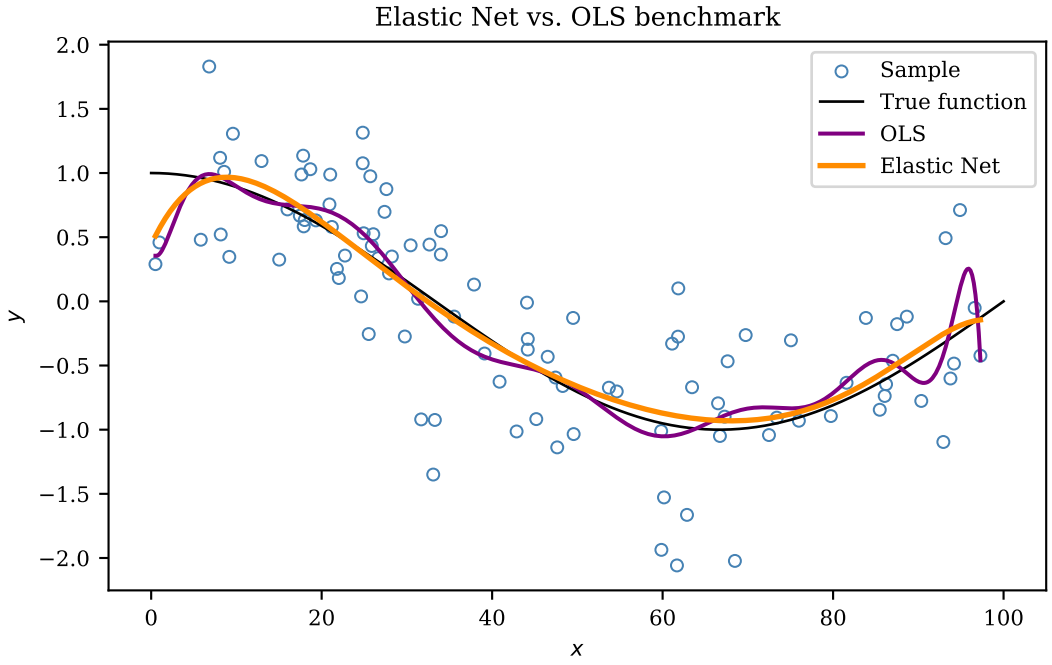
We now compare the predicted values from both models against the true underlying function.

[40]:
```
# Grid predictions from the illustrative Elastic Net model
yhat_grid_enet = pipe_enet.predict(X_grid)

# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)

# Plot predictions
ax.plot(xvalues, yhat_grid_ols, c='purple', lw=1.5, ls='-', label='OLS')
ax.plot(xvalues, yhat_grid_enet, c='darkorange', lw=2.0, label='Elastic Net')

ax.set_title(r'Elastic Net vs.  OLS benchmark')
_ = ax.legend()
```



1.5.2 Tuning the regularization parameters via cross-validation

Unlike Ridge and Lasso, Elastic Net has two hyperparameters to tune: α and the L1 ratio ρ. We use `GridSearchCV()` to try every combination of 200 candidate values of α and six L1 ratios. We search from 10^{-4} to 10^{-1} for α and include small L1 ratios to explore solutions close to Ridge.

The search again wraps the entire pipeline so that both scalers are fitted within each training fold. The dedicated `ElasticNetCV()` class has the same data leakage issue if we preprocess the full sample before its internal splits. We keep the same five folds and scoring rule as in the other examples.

[41]:
```
# Candidate values for both hyperparameters
l1_ratios = [0.001, 0.01, 0.1, 0.5, 0.9, 0.95]
enet_alphas = np.logspace(-4, -1, num=200)

# Keep all preprocessing inside the pipeline
pipe_enet = make_pipeline(
    StandardScaler(),
    PolynomialFeatures(degree=DEGREE, include_bias=False),
    StandardScaler(),
    ElasticNet(max_iter=20_000_000, tol=1e-6, precompute=True),
)

# Define the parameter grid for the Elastic Net search
param_grid = {
```

```
    'elasticnet__alpha': enet_alphas,
    'elasticnet__l1_ratio': l1_ratios,
}

# Define the grid search for Elastic Net regression with cross-validation
enet_cv = GridSearchCV(
    pipe_enet,
    param_grid=param_grid, # parameters to search over
    scoring=scoring, # scoring metric for cross-validation
    cv=cv, # CV splitting strategy
    refit=True, # refit the best model on the entire training set
    n_jobs=4, # parallelize over 4 CPU cores
)

# Run the cross-validation
enet_cv.fit(X_train, y_train)
```

We allow more iterations than the default of 1,000 and set `tol=1e-6` because these polynomial features are highly correlated. Setting `precompute=True` also speeds up fitting by reusing intermediate calculations within each fit. If fitting produces a `ConvergenceWarning`, we need to check the affected fits before relying on the search results. A larger `max_iter` allows more work but does not guarantee convergence.

Once the cross-validation is completed, we can access the selected hyperparameters through `best_params_` and the average validation score through `best_score_`:

[42]:
```
# Optimal alpha of the best model
alpha_best = enet_cv.best_params_['elasticnet__alpha']

# Optimal L1 ratio of the best model
l1_ratio_best = enet_cv.best_params_['elasticnet__l1_ratio']

# Average validation MSE of the best model
mse_enet_cv = -enet_cv.best_score_

print(f'Best alpha: {alpha_best:.4g}')
print(f'Best L1 ratio: {l1_ratio_best:.4g}')
print(f'CV MSE: {mse_enet_cv:.4g}')
```

```
Best alpha: 0.01534
Best L1 ratio: 0.1
CV MSE: 0.2483
```

For our demo sample, the search selects $\alpha \approx 0.0153$ and $\rho = 0.1$, with a CV MSE of about 0.248.

A small selected L1 ratio puts most weight on the L2 part of the penalty. Such an Elastic Net model can retain many or all of the features, much like Ridge. A ratio close to one favors Lasso's L1 penalty and can produce a sparser model. We therefore cannot assume that Elastic Net will select only a few features in every sample.

The search has already refitted the selected pipeline on the full training sample. We use this best model to predict `yhat_grid_enet` on the prediction grid.

[43]:
```
# Recover the pipeline already fitted with the selected hyperparameters
pipe_enet = enet_cv.best_estimator_

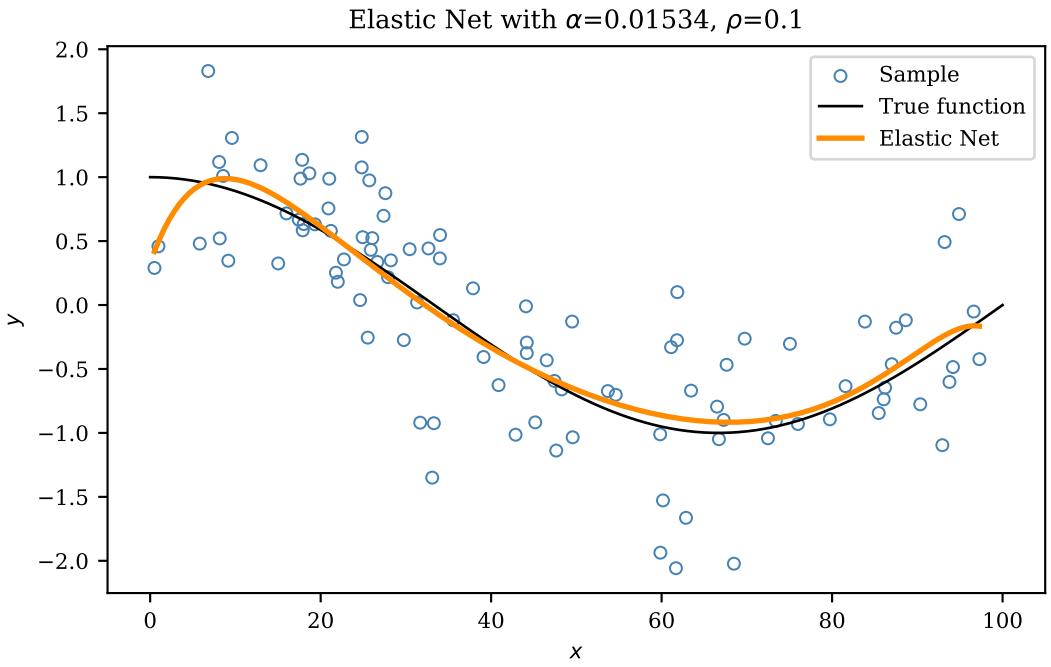
# Compute grid predictions using the selected Elastic Net model
yhat_grid_enet = pipe_enet.predict(X_grid)
```

Finally, we visually compare the true model to the Elastic Net prediction using the optimal values of α and ρ.

[44]:
```
# Plot sample and true relationship
ax = plot_trig_sample(x_train, y_train)
```

```
# Plot prediction from optimal Elastic Net model
ax.plot(xvalues, yhat_grid_enet, c='darkorange', lw=2.0, label='Elastic Net')

title = rf'Elastic Net with $\alpha$={alpha_best:.4g}, $\rho$={l1_ratio_best:.4g}'
ax.set_title(title)
_ = ax.legend()
```



Your turn

Using the code from above, perform the following tasks:

- Count the nonzero coefficients in the selected Elastic Net model, using the same 10^{-6} threshold as for Lasso. How many additional features does Elastic Net retain?
- Compare the CV MSEs of the two models. Is the improvement from Elastic Net substantial?

Hint: Use `enet_cv.best_estimator_.named_steps['elasticnet'].coef_` for the Elastic Net coefficients. For Lasso, reuse `n_features`. The CV MSEs are `mse_enet_cv` and `mse_lasso_cv`.

1.5.3 Dedicated cross-validation with `ElasticNetCV`

The dedicated `ElasticNetCV()` class searches over both α and the L1 ratio. Like `LassoCV`, it reuses solutions along the regularization path, which can make tuning faster than fitting each candidate independently. It is useful when the input features require no preprocessing learned within each fold. It does not solve the leakage problem for a scaler placed before it in a pipeline.

As in the `LassoCV` illustration, we use fixed, centered powers of $z = (x - 50)/100$ and no learned scalers. These features differ from those in our main pipeline. We recover the selected parameters from `alpha_` and `l1_ratio_`.

[45]:
```
from sklearn.linear_model import ElasticNetCV

# Fixed feature construction; no scales are estimated from the sample
poly = PolynomialFeatures(degree=DEGREE, include_bias=False)
X_train_fixed = poly.fit_transform((X_train - 50) / 100)
```

```
# Candidate strengths for these fixed feature scales
enet_alphas_dedicated = np.logspace(-6, -2, num=200)

# Candidate L1 ratios for Elastic Net
l1_ratios_dedicated = [1.0e-6, 0.001, 0.01, 0.1, 0.5, 0.9, 0.95]

# Create an ElasticNetCV object with candidate alphas and L1 ratios
enet_cv_dedicated = ElasticNetCV(
    alphas=enet_alphas_dedicated,
    l1_ratio=l1_ratios_dedicated,
    cv=cv,
    max_iter=5_000_000,
    tol=1e-6,
    precompute=True,
    n_jobs=4,
)

# Run the cross-validation
enet_cv_dedicated.fit(X_train_fixed, y_train)

print(f'ElasticNetCV selected alpha: {enet_cv_dedicated.alpha_:.4g}')
print(f'ElasticNetCV selected L1 ratio: {enet_cv_dedicated.l1_ratio_:.4g}')
```

```
ElasticNetCV selected alpha: 8.407e-06
ElasticNetCV selected L1 ratio: 1e-06
```

We are fitting substantially different regularized models because the polynomial basis and feature scales change the meaning of the penalty, so the selected α and L1 ratio are not directly comparable to those from our standardized pipeline.

The selected L1 ratio is close to zero, suggesting that cross-validation favors an almost pure Ridge penalty for these features; repeatedly lowering the grid boundary adds little practical information.

1.6 Comparing predictions on new observations

The minimum CV MSE helped us choose hyperparameters. To assess the resulting models, we now generate a large test sample of 100,000 observations that played no part in fitting or tuning. A new random generator gives us independent observations from the same model. The large sample makes the comparison less sensitive to chance variation in the test observations. We use the fitted pipelines without refitting or tuning them on this test sample.

We compute prediction errors with `mean_squared_error()` and compare predictions with the noisy test outcomes `y_test`. Even the true cosine function would have an expected MSE of $0.5^2 = 0.25$ because of the measurement error. This gives us a useful benchmark when interpreting the results.

[46]:
```
from sklearn.metrics import mean_squared_error

# Generate a large independent test sample
x_test, y_test = create_trig_sample(N=100_000, rng=default_rng(5678))
X_test = x_test[:, None]

# Predictions from OLS and the selected regularized models
yhat_test_ols = pipe_ols.predict(X_test)
yhat_test_ridge = pipe_ridge.predict(X_test)
yhat_test_lasso = pipe_lasso.predict(X_test)
yhat_test_enet = pipe_enet.predict(X_test)

# Compute the OLS benchmark for the relative comparison
mse_ols_test = mean_squared_error(y_test, yhat_test_ols)
```

The following code reports the results. The table includes the CV MSE from each regularized model's pipeline search; we show a dash for OLS because we did not cross-validate it. For each model, we also report the percentage reduction in test MSE relative to OLS. A positive reduction means better prediction than OLS. This comparison evaluates the models fitted on our particular training sample; a different training sample could change the results.

[47]:
```
predictions = [
    ('OLS', yhat_test_ols, None),
    ('Ridge', yhat_test_ridge, mse_ridge_cv),
    ('Lasso', yhat_test_lasso, mse_lasso_cv),
    ('Elastic Net', yhat_test_enet, mse_enet_cv),
]

print(f'{"Model":<12} {"CV MSE":>8} {"Test MSE":>10} {"Reduction vs OLS":>17}')
for name, yhat_test, mse_cv in predictions:
    mse_test = mean_squared_error(y_test, yhat_test)
    reduction = (mse_ols_test - mse_test) / mse_ols_test

    # OLS was not cross-validated in this example
    cv_text = '-' if mse_cv is None else f'{mse_cv:.5f}'

    print(f'{name:<12} {cv_text:>8} {mse_test:10.5f} {reduction:17.2%}')
```

```
Model          CV MSE   Test MSE  Reduction vs OLS
OLS                 -    1.32244             0.00%
Ridge         0.24892    0.26217            80.17%
Lasso         0.24874    0.25870            80.44%
Elastic Net   0.24826    0.26058            80.30%
```

The test MSE is about 1.322 for OLS, 0.262 for Ridge, 0.259 for Lasso, and 0.261 for Elastic Net. All three regularized models reduce test MSE by about 80% relative to OLS, with errors close to the noise benchmark of 0.25. The large OLS error is mostly driven by predictions near the upper end of $[0, 100]$, beyond the largest training value of about 97.3. Our prediction plots stop at the largest training value, so they do not show these extreme predictions.

These results illustrate the benefits of regularization for our fitted degree-15 polynomial; they do not establish that one method always predicts better than the others. Elastic Net achieves the lowest CV MSE but a slightly higher test MSE than Lasso, while all three regularized models perform similarly on this sample.

1.7 List of functions used in this lecture

The following list contains the central functions covered in this lecture. Each function name is linked to the official API documentation which you can consult for more details regarding function arguments and return values. The `[[go to section]]` links take us to the relevant sections in this notebook.

1.7.1 NumPy array functions

- `logspace()`: Function for creating numbers spaced evenly on a log scale. [go to section]

1.7.2 scikit-learn model selection

- `GridSearchCV()`: Cross-validation over a parameter grid for a complete pipeline. [go to section]
- `KFold()`: Split observations into training and validation folds. [go to section]

1.7.3 scikit-learn metrics

- `mean_squared_error()`: Average squared prediction error. [go to section]

1.7.4 scikit-learn linear models

- `Ridge()`: Linear least squares with L2 regularization. [go to section]
- `RidgeCV()`: Ridge regression with built-in cross-validation. [go to section]
- `Lasso()`: Linear model with L1 regularization (shrinkage). [go to section]
- `lasso_path()`: Function for computing the Lasso path with coordinate descent. [go to section]
- `LassoCV()`: Lasso linear model with iterative fitting along a regularization path. [go to section]
- `ElasticNet()`: Linear regression with combined L1 and L2 priors as regularizer. [go to section]
- `ElasticNetCV()`: Elastic Net model with iterative fitting along a regularization path. [go to section]